

Some 50 years later, See's had become the premier chain of candy shops on the West Coast, and Mary See's heirs were ready to move on to the next phase of their lives. Chuck Huggins, who had joined the company 30 years earlier, was given the job of finding the best buyer and coordinating the sale. Several suitors came calling, but no engagement was announced.

Late in 1971, an investment adviser to Blue Chip Stamps, of which Berkshire Hathaway was then the majority shareholder, proposed that Blue Chip should buy See's. The asking price was \$40 million, but because See's had \$10 million in cash, the net price was actually \$30 million. Still Buffett was skeptical. See's was valued at three times book value, a very steep price according to Graham's value-based precepts.

Charlie convinced Buffett that paying what he thought was a steep price was actually a good deal. Buffett offered \$25 million and the sellers accepted. For Buffett, it was the first major move away from Graham's philosophy of buying a company only when it was underpriced in relation to its hard book value. It was the beginning of a plate-tectonic shift in Buffett's thinking, and he acknowledges that it was Charlie who pushed in a new direction. "It was," Charlie later remarked, "the first time we paid for quality."¹⁶ Ten years later, Buffett was offered \$125 million to sell See's—five times the 1972 purchase price. He decided to pass.

One reason Buffett and Charlie's partnership has lasted so long is that both men possess an uncompromising attitude toward commonsense business principles. Both exhibit managerial qualities necessary to run high-quality businesses. Berkshire Hathaway's shareholders are blessed in having managing partners who look after their interests and help them make money in all economic environments. With Buffett's policy on mandatory retirement—he doesn't believe in it—Berkshire's shareholders have benefited not from one mind, but two, for over 35 years.

A Blending of Intellectual Influences

Shortly after Graham's death in 1976, Buffett became the designated steward of Graham's value approach to investing. Indeed, Buffett's name